Microsoft Corp.

From Hong Kong to Melbourne – Investor Questions on AI, Copilot, Azure and Capex

Equities

United States
Software

12-month rating **Buy**

12m price target	**US$510.00**
	Prior : US$600.00
Price (23 Mar 2026)	**US$383.00**

RIC: MSFT.O **BBG:** MSFT US

Trading data and key metrics

52-wk range	US$542.07-354.56
Market cap.	US$2,857b
Shares o/s	7,460m (COM)
Free float	90%
Avg. daily volume ('000)	34,101
Avg. daily value (m)	US$14,408
Common s/h equity (06/26E)	US$461b
P/BV (06/26E)	6.2x
Net debt to EBITDA (06/26E)	NM

EPS (UBS, diluted) (USD)

	06/26E	
	UBS	**Cons.**
Q1	4.13	4.13
Q2	4.14	4.14
Q3E	4.23	4.06
Q4E	4.36	4.26
06/26E	16.86	16.59
06/27E	19.21	19.01
06/28E	22.16	22.33

Summary

We spent the last two weeks in Asia/Australia hosting investor meetings with Microsoft's IR team and in this report we review the key investor debates, Microsoft's response and our own views. At 19x CY26E non-GAAP EPS we remain Buy-rated, but acknowledge that the narrative around M365/Copilot needs to improve in order for the stock to really re-rate higher. We're recapping our takes on an investor call at 8:30am ET on Wed Mar 25th.

Focus on M365 and Copilot

The early-stage efforts of OpenAI and Anthropic to step into the "knowledge work" software arena, Microsoft's sweet spot, has shifted investor focus to the growth and durability of the core M365/Copilot business. Against a backdrop of investor skepticism about Copilot, Microsoft argued that Copilot seat/usage trends picked up in 2Q/Dec and while they need to innovate faster, Microsoft can be a successful "fast follower". In Microsoft's defense, the moves over just the last few weeks – Copilot Cowork, a new E7 bundle and changing the Copilot leadership – signal a more aggressive stance and sense of urgency inside Microsoft.

Azure Growth and FY27 Capex

Microsoft sounded very bullish about Azure demand, including core CPU-based demand that serves as a good read to the likes of Snowflake and Datadog. That said, Microsoft offered no signal about Azure revs growth and capacity additions beyond the 3Q/Mar quarter and we sense that the sharper 3P-to-1P GPU mix shift that weighed on the stock post the 2Q/Dec print is likely to persist, throttling Azure growth. Given strong demand and hardware inflation, we expect capex to still grow in FY27 off a base of ~$145b in FY26 (we're currently modeling +25% growth to $181b in FY27) and we got the sense that Microsoft would offer color on FY27 capex on the 3Q/Mar earnings call.

Valuation:

At CY26E multiples of 44x FCF, 21x GAAP EPS and 19x non-GAAP EPS, we still view the stock as being reasonably-priced, although it may take time for sentiment about M365/ Copilot to bend. Given the de-rating across the software sector and competition from the AI model providers, we're lowering our PT from $600 to $510, based on an assumed CY27 non-GAAP PE multiple of 23x (prior 27x), a deserved premium to the peer group.

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Highlights (US$m)	06/23	06/24	06/25	06/26E	06/27E	06/28E	06/29E	06/30E
Revenues	211,915	245,122	281,724	329,281	382,502	445,678	517,282	591,675
EBIT (UBS)	89,694	109,433	128,528	154,380	176,184	202,522	233,034	265,567
Net earnings (UBS)	73,307	88,136	105,481	125,689	142,670	163,944	188,587	214,865
EPS (UBS, diluted) (US$)	9.81	11.80	14.13	16.86	19.21	22.16	25.60	29.28
DPS (net) (US$)	2.71	2.98	3.28	3.61	3.97	4.37	4.80	5.28
Net (debt) / cash	64,025	23,913	51,414	75,237	90,617	98,360	99,676	99,755

Profitability/valuation	06/23	06/24	06/25	06/26E	06/27E	06/28E	06/29E	06/30E
EBIT (UBS) margin %	42.3	44.6	45.6	46.9	46.1	45.4	45.0	44.9
ROIC (EBIT) %	75.7	60.4	50.7	48.1	40.4	34.2	29.8	26.4
EV/EBITDA (UBS core) x	18.6	20.8	18.9	14.1	12.1	9.9	8.3	7.1
P/E (UBS, diluted) x	27.3	32.0	30.0	22.7	19.9	17.3	15.0	13.1
Equity FCF (UBS) yield %	3.0	2.6	2.3	2.6	2.3	2.3	2.5	2.8
Dividend yield (net) %	1.0	0.8	0.8	0.9	1.0	1.1	1.3	1.4

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of US$ 383.00 on 23-Mar-2026

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M365 and Copilot Questions

If there was one key change in the nature of investor questions in this series of investor meetings relative to prior ones that we've hosted, it was the focus on Microsoft's application software suite – M365 and Office in particular. This part of the portfolio used to be an afterthought as investors focused heavily on Azure growth trends. Not anymore.

M365 Copilot Progress

MSFT: We came to market early with Copilot, it took some time to find product-market fit and we had to change the selling motion to focus more on individual teams, more of a bottoms-up effort. The IT tools we've added around it – think of Purview – have also helped. Copilot was re-written over the last year or so to take advantage of the model improvements from OpenAI and Anthropic. We're very happy with the progress and the 15 million seat disclosure, Copilot is the fastest growing M365/O365 SKU of all time and we saw very good Copilot usage during 2Q/Dec. We realize that we need to fuel seat sales and move faster, show that we're innovating, and the announcement of Copilot Cowork is an example of that.

UBS: The consensus view of investors in Asia and the underpinning of this line of questioning was that M365 Copilot has disappointed to date, that the 15 million seat sales should be larger by now, the feedback on Copilot usage stronger than it is from customers and partners and that the commercial M365 revs growth curve should be bending higher and yet it's not (although to MSFT's credit, M365 Commercial Cloud growth is stable at ~14% despite its massive scale and decelerating seat growth). In our view, most US investors share this view and indeed, this has become a material weight on the stock such that if this were to reverse, it could become a material stock catalyst. Bottom line, we're sympathetic to this concern but would make two points in MSFT's defense. First, while we're 3 years into the "AI phenomenon", enterprise adoption remains early-stage. Many organizations were probably not ready for a Copilot-like product in 2023/2024 and in many cases, IT departments are throttling Copilot functionality. Second, MSFT now does seem to be moving more aggressively to bolster Copilot seat sales and usage – notably by embedding Anthropic Cowork at no incremental cost and by making an org change just last week to bring Copilot under new leadership.

The Launch of Copilot Cowork

MSFT: We already have Agent Mode in Excel that can do many of the things that Anthropic Cowork can do. But we elected to co-develop Copilot Cowork with Anthropic and are embedding it into Copilot at no incremental price, adding more value rather than driving immediate monetization and we/MSFT (and not Anthropic) retain the customer relationship. Over time, that can drive more usage and more seats. With Cowork, we're taking Copilot from single-shot question-response to something much bigger, to multiple-shot agentic workflows, this is where our product roadmap is focused, on AI agents. Why wouldn't customers elect to choose a MSFT product for Cowork running on Excel? Anthropic Cowork had limitations – it was initially buggy and relied on local file access for instance, and it was optimized for Excel, just one use case. MSFT cannot launch like that, anything we come out with has to be tight, enterprise-ready, even in research preview mode.

UBS: In our view, this was a smart move. The reality is that Anthropic moved faster and now OpenAI is out with ChatGPT for Excel. In our view, MSFT had to move fast and this was the best possible chess move. By embedding Cowork at no added cost in Copilot, MSFT has a real shot at driving Copilot seat growth, even if at lower GMs given the Anthropic rent and higher usage. We're sympathetic to MSFT's point that its customer base expects it to offer enterprise-grade products out of the gate, that takes time relative to AI natives that can scale fast serving prosumers, SMBs and other AI natives with faster-to-market but lighter-weight products. This arrangement could also serve as a big win for Anthropic given MSFT's distribution.

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Building Cowork Versus Partnering with Anthropic

MSFT: We felt that we needed to respond quickly to Anthropic Cowork, speed to market was a factor in our decision. Anthropic Cowork was launched in mid-January, and here it is just two months later and we're announcing our own version, that is fast for an organization our size. We can be a fast-follower, we don't always have to be on the leading edge and it's unrealistic to think that we can be all the time relative to smaller and more nimble rivals. Think of how we reacted to Slack and Zoom by launching Teams, and the success we've had with that product. Anthropic did a good job going beyond a single shot response and automating or stitching together agentic workflows, figuring out the specs and data sources and pulling all that together and putting it into one product. We were moving there, Claude Cowork was not based on differentiations that we didn't know how to replicate, but we could get faster time to market by working with them. By using Cowork in Copilot (rather than standalone), customers get access to WorkIQ and indexing for the context layer as well as the governance and permissions. Our decision was about speed to market, it was important for us to show the market that we could do this. If we are using Anthropic's model in Cowork, then there are rents we have to pay them. When Anthropic's model is being used it is up to them to figure out capacity but they are an Azure customer and do have a commitment with us.

UBS: Yes, ideally MSFT would have innovated faster and built Copilot Cowork itself and thereby not have to react to Anthropic and end up embedding Anthropic Cowork in Copilot and paying them rent (MSFT did not comment at all on what the economics with Anthropic look like). But we get MSFT's point – that it needed to move quickly and that it can be a successful fast-follower. Frankly, we respect MSFT's innovation culture, whereby it is willing to partner with others that may be innovating faster.

New E7 Bundle

MSFT: Customers now want to go beyond Copilot and are beginning to deploy AI agents, and hence they will have a need to manage agent sprawl. The M365 E7 bundle offers Copilot, Agent 365 (an agent registry, orchestration and observability platform) as well as Entra ID (formerly Azure Active Directory) for the back-end governance, identity and permissioning layers. Within E7 you get Copilot at $30 per seat and then Agent 365 at $15 standalone and Entra, so the E7 bundle is compelling given all that's included. We know how to sell bundles like this and expect this to be mostly an E5 to E7 upsell motion. We called it Frontier because for now we are deliberately targeting customers that are on the frontier of agent deployment.

UBS: Akin to our point above about the need to move fast against Anthropic Cowork, the E7 Frontier bundle was announced very soon after OpenAI launched its own Frontier platform to help enterprises manage and secure AI agents and give them more context. Given how early most organizations are in terms of deploying AI agents at scale, we believe that it will take some time for E7 adoption to take off.

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Allocating GPU Capacity to 1P Needs

MSFT: The need to make tough choices in terms of allocating GPUs is a function of the supply constraints that we're facing. The decision to allocate GPU capacity away from Azure to 1P efforts was driven in part by a desire to invest in the M365 R&D efforts, not out of a fear of disruption but more offensive, knowing that AI is TAM-expansive for us. The GPU supply constraints were lasting longer than expected and we could not continue to under-invest in our high-margin crown jewels like M365. If Amy could go back in time she would have put more GPUs towards internal R&D. When you think you are only two quarters away from capacity unlock, it is easy to give scarce GPUs to customers at the expense of internal R&D but since capacity constraints have been ongoing we can no longer borrow from R&D, we can't take away from the business. Think of the priorities being 1. investing in 1P applications such as M365 Copilot and GitHub Copilot, basically offering more tokens to our own engineers, 2. our own 1P model training efforts, 3. monetizing via Azure and 4. natural replacement as hardware reaches its end of life. We are more than just Azure. Adding scarce GPU capacity to Azure offers a fast path to monetization. If Copilot usage ramps in the existing seat base, there may not be a near-term revenue lift, it is more of a long-term ROI but we need to ensure we can serve that usage increase. Adding GPU capacity to our R&D efforts, across the entire product suite and 1P model efforts, naturally has a longer pay-off timeframe.

UBS: To give this some context, every software company is now (or soon will be) talking about investing more to AI-enable their portfolio to drive growth and push back against AI alternatives. MSFT's need to do this isn't a shocker, and we'd note that Google disclosed on its 4Q25 earnings call that "just over half" of the ML/compute capex will go to Google Cloud, implying that 45-50% is being allocated to Google's internal (search, other) needs. In our view, MSFT's 1P needs are not just to serve Copilot usage and 1P model training, it's likely to invest to AI-enable the broader portfolio ("MSFT's engineers need more tokens"). The downside of course is that until MSFT can stand up sufficient new capacity, this 1P need will throttle Azure revs growth and introduces some risk of slower new Azure customer wins (which we haven't seen evidence of yet). We did not get the sense that this 3P-to-1P compute allocation shift was a 1-2 quarter thing. Our base case is that it persist for some time.

Revenue Impact of M365 Seats vs AI Agents

MSFT: One area in which there is some misunderstanding is around how TAM-expansive AI agents might be for the M365 business. Even if an AI agent replaces seats, it doesn't mean that we won't monetize it. To begin, the sheer velocity of usage in our apps ecosystem is likely to go up, it will end up being TAM expansive, and we'll monetize in a way that will offset any loss of seats. Think of Copilot Cowork serving to increase the usage intensity of Excel. Satya has spoken about the "headless Office" – AI-driven agents interfacing with Office, not humans - potentially being the highest ARPU for MSFT. If a 3P agent is running on MSFT's IP – such as Office – we will find a way to monetize that usage and offset any seat pressure.

UBS: MSFT's confidence that it can more than offset any M365 seat pressure was encouraging, even though the stock may continue to be held back by "prove it to me" investor sentiment. One subject we're quite interested in – and will pursue going forward – is the notion that software firms like MSFT (Workday's CEO was even more clear on the recent earnings call and HubSpot also called this out) are contemplating charging 3P agent providers for access to their IP (apps/data), as a means to monetize AI agents and offset seat pressure.

How M365 and Copilot Pricing Could Evolve

MSFT: You could see pricing and packaging evolve, but right now we feel good about seat-based pricing. We will follow customer preference on this. What we hear from customers is they like to pay for what they use but then when they get to point where unpredictability is a factor then they want to go back to per seat. Maybe there is cap on usage or consumption of credits, and even in Copilot we see heavy users and light users, and that distribution is contemplated in the pricing. If a customer wants some hybrid pricing then we will consider that.

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UBS: It did not sound to us that MSFT was contemplating any near-term change to Copilot pricing but we can imagine an end state (not just for MSFT but many software firms) that looks like Anthropic's pricing model – per seat but with a cap on usage, and consumption-based pricing above that cap.

Overall AI Disruption to Software

MSFT: We can't imagine any company would be looking use AI to re-create Office/Excel, not at the price point they're paying, the value they're getting and the security, auditing and governance we offer. In our view "thick apps" are least likely to be disrupted – think of them as high value-add, apps that your employees live and work in for extended periods of time each day. This contrasts to "thin apps" that are infrequently used, a high-ARPU interface or intermediary layer accessing a back-end data store, those could be disrupted more easily. Software in general will be re-written and re-imagined as it becomes AI-enabled, it will evolve and also impact the tech stack that it runs on.

UBS: The question of what applications or categories are safe or at risk from AI disruption is one that every software investor (and we) are thinking through in depth. There are many ways to approach this question, but MSFT's angle – low-ARPU but high-usage intensity apps such as Office being least affected – is interesting. On the flipside, the description of "thin apps" could apply to its Dynamics suite, although Dynamics is of course a small part of MSFT's revs mix compared to M365/Office.

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Azure, Capex and Other Topics

While the nature of investor questions has pivoted materially to MSFT's application software suite, interest in Azure growth and AI capex trends remains high.

Azure Growth and Capacity Additions

MSFT: We are seeing strong GPU token demand, and on the core CPU side, we're also still seeing accelerating core migration activity and strong demand for data and analytics services, with AI a likely catalyst. Demand continues to get better. Capacity comes on-line in chunks, but we're standing up capacity faster - 1 GW came on-line in the 2Q/Dec quarter alone versus 2 GW in all of FY25. The key near-term Azure capacity constraint is not finding power off the grid, it's standing up data centers, from permitting to labor. There is no single component or factor causing build-out constraints, it's a number of things and our supply chain team is optimizing all the time. We don't have an issue getting chips, it is not the silicon that we are short. Sometimes Satya says power is the constraint but what he means is space and the shell not the electricity. The more efficiencies you drive the less power and electricity you need in future. We have line of sight for power for the GW expectations going forward. It's hard to say when capacity constrains will come to an end. We said at least through June but it could be longer than that.

UBS: Again, we were struck by how infrequently investors brought up the Azure growth outlook, historically the dominant question in such meetings. In fairness, this could be due to the fact that the Azure revs growth outlook is very capacity-driven, and MSFT is not being clear about the pace of capacity adds going forward. We didn't pick up any helpful signal about capacity additions going forward or the Azure growth profile beyond the 3Q/Mar quarter. If MSFT remains capacity constrained, then any AI token demand ramp in the 3Q/Mar quarter wouldn't necessarily translate to an Azure revs acceleration. What was helpful – and perhaps incremental – was the conviction in core CPU-based Azure demand, including the statement that core migration activity was "accelerating" and "healthy". That is consistent with our checks and a positive read for the smaller infra/data exposed names such as Snowflake, Datadog and MongoDB.

Capex Growth Trends

MSFT: Our capex outlook is demand-driven and a function of our contracted backlog. We have a $625 billion backlog to serve. Two-thirds of our capex is now going to GPUs and other short-lived assets, a signal that we have capacity coming on-line and that demand is very strong. Ultimately, cloud capex growth will trend below Azure/cloud revs growth, but we're unsure when that will occur, how long it will take for those lines to cross. We're not actively forcing those lines to cross. Capex growth was above Azure growth back in the early days of the CPU infra cycle as well, as we had to scale up. It is really a function of demand, and right now that demand signal is broadening out to also include our own 1P efforts.

UBS: MSFT was very careful about saying anything overt regarding capex growth beyond the 3Q/Mar quarter. That said, we DID get the sense that MSFT would offer color on FY27 capex on the 3Q/Mar earnings call. In our best judgement, if demand for both GPU and CPU workloads remains this strong, if MSFT has such a need for compute capacity for internal R&D efforts and hardware component inflation is material and likely to persist (see below), then it is hard for us to imagine total capex spend leveling-off in FY27 from estimated capex of $145 billion (+64%) in FY26. In fact we view our current FY27 capex estimate of $181 billion (+25%) as being very conservative.

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ROI on AI Capex

MSFT: In Cloud 1.0 – the CPU era - gross margins were negative over a decade ago or so. AI gross margins today are at least positive, so margins are already in a much better spot and we are putting in the same programs to improve margin over time. In data centers, we can optimize at the software level to drive margin efficiency over time. We do not think there will be a GM difference in AI infra, we know how to optimize/get efficiency. Back then, you saw initial pricing pressure from AWS and Google and we see other margin dynamics today, like Nvidia collecting very good rents. We do not consider ourselves as having just a GPU rental business, we have a PaaS layer (Azure Foundry) and more solutions. We are not saying that the rate of return will be better but think it will be similar.

UBS: MSFT could prove to be right – GPU infra margins could eventually converge with CPU infra margins – but it will take some time to get there and the road ahead is very uncertain. Investors are looking through a fog right now on this question and are evidently unwilling to simply believe MSFT and ORCL. But we would note that in their latest quarter, MSFT's total Cloud GMs were down 300bps y/y and at an overall company level, EBIT margins were UP 160bps. In its recent 3Q/Feb quarter, ORCL's EBIT margins were down 90bps. The mix shift to AI revs is indeed pressuring margins but is not crushing the margin structure of the hyperscalers to a degree that would lend support to the bear case on AI capex ROI.

Impact of Hardware Inflation on Capex and Margins

MSFT: You'll see the impact in capex first, and with a lag, but capex spend will likely come up slightly because of memory price increases. Because capex is depreciated over 6 years, any hardware inflation rolls into margins with a lag, over a 6-year period. To offset any GM impact, we'll first look for efficiency gains elsewhere, only then would we consider whether to pass this along to the customer. That choice has a number of inputs and is carefully evaluated – we would consider whether the component inflation is temporary or structural, and what our competition is doing. We don't pull that lever often. Recall the energy price hike back in 2022, we decided not to pass that along and it proved to be more cyclical. We also try to diversify our hardware suppliers.

UBS: Our best estimate is that MSFT has locked-in memory shipments and pricing through the end of their fiscal year, so the end of June 2026. After that, so in FY27, we believe that MSFT's capex will be impacted by hardware inflation. While MSFT is being very careful about signaling any price increase to customers, our base assumption is that sometime in FY27 MSFT (as well as rivals such as AWS) will indeed begin passing on Azure price increases, reflecting the very strong demand backdrop. This is on top of the de facto price increase (technically, the elimination of discounts) that went into effect November 1, 2025.

Competition Between OpenAI and Anthropic

MSFT: We want to be a platform, to enable customers to use Anthropic for this, OpenAI for that and our 1P models for something else, and we give customers a choice of the model they want to use in Copilot. As long as the activity occurs on the MSFT platform, we're ok. We'll likely see a lot of leap-frogging in terms of model performance among the frontier model providers and we're still so capacity constrained that any share shift between OpenAI and Anthropic doesn't impact us in the short-term, but we do want long-term diversity in terms of our model partners. There are also a lot of great open source models out there, such that there won't be a "one model" or a single winner end state. We have IP rights to OpenAI models and we don't pay them a royalty or rent for access, at least through 2032.

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UBS: In our view it makes sense for MSFT to be a multi-model platform provider, that has been a core element of its business model for decades. The spirit of this line of questioning from investors is a belief that Anthropic is winning and OpenAI is losing, hence the concern with MSFT's large OpenAI exposure. MSFT's retort that it is so capacity constrained that any Anthropic-OpenAI share shifts don't have a near-term impact on Azure growth sounds right to us, but we might question the premise that OpenAI is losing and hence model diversification is imperative. Anthropic's revenue ramp is impressive – startling in fact – but we suspect that a good portion of this ramp is coming from prosumers and AI-natives. OpenAI still has a very good foothold in the large enterprise market.

Azure Dependency on OpenAI

MSFT: We disclosed that 45% of our backlog is from OpenAI, but remember, 55% is not. We have a giant customer base and a long tail of enterprises that are still very early on their AI journeys. The AI market overall is still early days and in our view it's ok to have an anchor customer, much like AWS had back in the day with Netflix and CapitalOne. At the beginning of all great tech waves, you have these leading customers that are ahead like OpenAI and Anthropic are today. These customers initially drive demand but if we fast forward we think there will be a lot more enterprises running AI at scale. Also, remember, not all of the $250 billion deal with OpenAI is in the backlog (we discount it, take reserves) and not all of that $250 billion is AI revs per se, some is for CPU-based services like CosmosDB.

UBS: This question is a derivative of the one above and it is hard to refute – while MSFT has been diversifying its exposure to the frontier model providers, it remains very exposed to OpenAI and hence MSFT shares are a key part of the "OpenAI complex" and will trade up/down on OpenAI news (as will ORCL of course).

1P Model Efforts

MSFT: In terms of our 1P model efforts, we are hyper-focusing or tailoring OpenAI's general-purpose models for specific high value-add areas or domains, including coding, productivity, security and healthcare. Our goal is custom 1P models purpose-built for certain domains. We want to give customers choice but also reduce the rents we end up paying to the 3P model providers.

UBS: MSFT appears to remain committed to building 1P models, and we didn't pick up any signal of a pull-back or statement to downplay the associated R&D expense. While Mustafa Suleyman may no longer be in charge of Copilot, he remains at MSFT to lead the 1P model efforts and the super-intelligence team. The key question is how material will R&D expense be? At first blush, building a 1P model for a domain such as "coding" doesn't sound niche at all – that is a massive use case. But a few things shape our view that MSFT's 1P model training efforts won't seriously damage the EBIT margin trajectory. First, on this latest 2Q/Dec call, MSFT RAISED its FY26 EBIT margin guidance. Second, MSFT expenses model training costs in R&D, which in 2Q/Dec were +7% y/y and +4% q/q, rates of growth below that of previous years. We believe that R&D headcount is down y/y, perhaps masking a spike in 1P model training costs, but at first blush the R&D expense growth does NOT imply massive 1P model training costs. Lastly, we'd point out that just last week Cursor announced the launch of its own 1P coding model (a forked version from an open source Kimi model) after about a year of effort. We haven't read/heard anything to suggest that Cursor's effort resulted in material financial strain on the company. It could be that fine-tuning a 3P frontier model for a specific domain (even coding) can be done in a cost-efficient manner.

1P Maia Chip Update

MSFT: We feel very good about the progress that M200 has made, it has exhibited strong performance metrics relative to Google TPUs and AWS Trainium 2 chips and they were a big improvement against M100s, but it's still early-stage. Our M200 chips are not yet scaled-out, they are used for internal workloads for now, including by our internal super-intelligence team.

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UBS: We don't have much to add, other than to point out that the M200 chips (and soon M300s) serve to potentially reduce the "rents" paid to Nvidia, a source of cost savings that are too early-stage to be impacting MSFT's margins.

Margins and Headcount Control

MSFT: If we experience things like hardware inflation, our first reaction is to find efficiency gains to offset it and protect margins. We last disclosed headcount of 228,000 at the end of June 2025 and we've done headcount reductions since, so you can assume we're now at a level below that. We also have a number of levers to drive AI GMs up over time, just as we did in the CPU infra era.

UBS: Frankly, there were very few investor questions about margins and EPS, seemingly rooted in a view that MSFT has good control over earnings and that the ramp in lower-GM AI revenues was not enough of a mix shift to jeopardize the steady EPS growth outlook. As noted above, there was far greater interest in the capex outlook.

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Forecast returns

Forecast price appreciation	33.2%
Forecast dividend yield	1.0%
Forecast stock return	34.2%
Market return assumption	8.9%
Forecast excess return	25.3%

Company Description

Founded in 1975, Microsoft is the world's largest software company, generating over $200bn in annual revenue in fiscal 2023. Operating in over 190 countries, the company is a market leader across numerous software categories, with core solutions including cloud computing infrastructure (Azure), productivity applications (Office and Office 365), operating systems (Windows), business applications (Dynamics), internet services (LinkedIn, Bing), database software (SQL Server), gaming (Xbox), devices (Surface), and other products and services addressing enterprise and consumer technology markets.

UBS EPS and Consensus EPS

The UBS EPS is an adjusted diluted EPS metric. It is calculated using the UBS analyst's interpretation of earnings suitable for valuation purposes divided by the diluted number of shares. This may differ to the way the consensus EPS metric has been calculated.

Valuation Method and Risk Statement

We value Microsoft on a relative non-GAAP P/E multiple on CY27 estimates. Key risks for Microsoft include the IT spending environment, the pace of decline in legacy businesses relative to growth in newer Cloud-centric businesses, the required capex investment needed to build Cloud datacenters, competitive pressure from Cloud-native leaders like Amazon and Google, and legal and regulatory risk given Microsoft's dominant position in PC operating systems and productivity applications. Microsoft operates in the technology industry which also sees rapid change and innovation, and the company's market opportunity could change rapidly if technology and demand preferences shift in an unanticipated direction.

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Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Microsoft Corp.

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	5
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	N/A
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	5
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	52%	24%
Neutral	FSR is between -6% and 6% of the MRA.	41%	22%
Sell	FSR is > 6% below the MRA.	7%	25%
Short-Term Rating	**Definition**	**Coverage[3]**	**IB Services[4]**
Buy	Stock price expected to rise within three months from the time the rating was assigned because of a specific catalyst or event.	<1%	<1%
Sell	Stock price expected to fall within three months from the time the rating was assigned because of a specific catalyst or event.	<1%	<1%

Source: UBS. Rating allocations are as of 31 December 2025.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.
3:Percentage of companies under coverage globally within the Short-Term rating category.
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Company Name	Reuters	12-month rating	Price	Price date
Microsoft Corp.[4,16,28,7,8,6a,6b,6c]	MSFT.O	Buy	US$383.00	23 Mar 2026

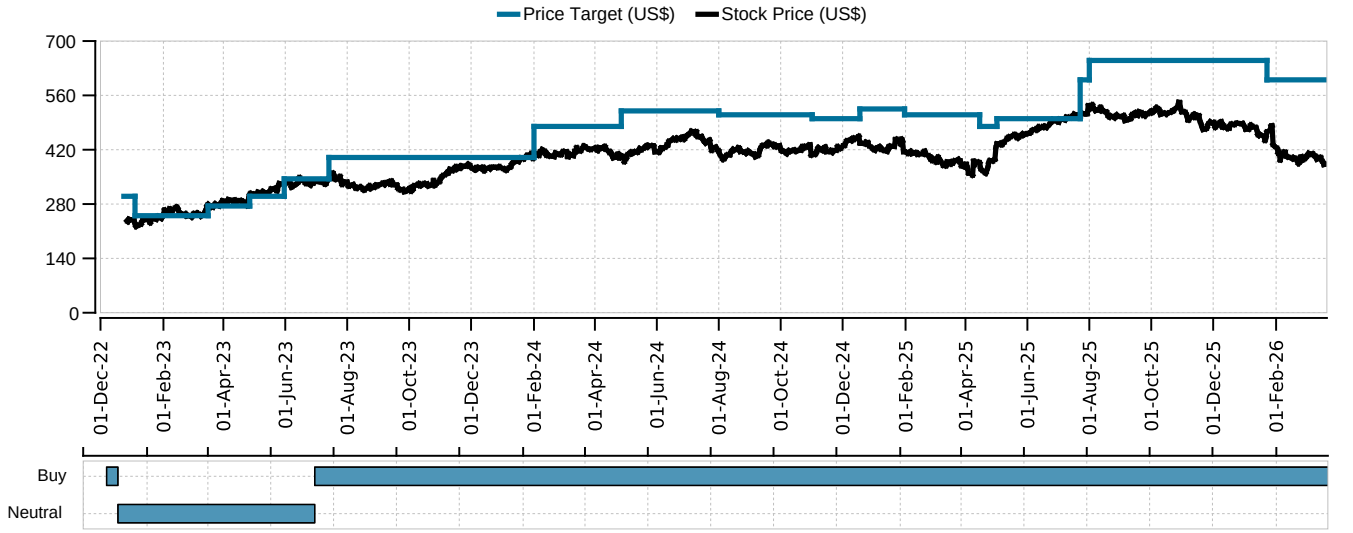
Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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Microsoft Corp. (US$)



Date	Stock Price (US$)	Price Target (US$)	Rating
2022-12-23	238.73	300.00	Buy
2023-01-03	239.58	250.00	Neutral
2023-03-16	276.20	275.00	Neutral
2023-04-26	295.37	300.00	Neutral
2023-05-30	331.21	345.00	Neutral
2023-07-13	342.66	400.00	Buy
2024-01-31	397.58	480.00	Buy
2024-04-26	406.32	520.00	Buy
2024-07-31	418.35	510.00	Buy
2024-10-31	406.35	500.00	Buy
2024-12-17	454.46	525.00	Buy
2025-01-30	414.99	510.00	Buy
2025-04-14	387.81	480.00	Buy
2025-05-01	425.40	500.00	Buy
2025-07-22	505.27	600.00	Buy
2025-07-31	533.50	650.00	Buy
2026-01-22	451.14	600.00	Buy

Source: UBS Global Research; LSEG Eikon as of 23-Mar-2026. All prices as of local market close. Ratings as of date shown.

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